

Supply Chain ABS Financing Analysis

Spark Shi Internship Project

- **Project Background**

During my internship, I worked with full-time employees on a supply chain financing proposal involving an ICT distribution company. The company purchases products such as computers, servers, and other electronic equipment from upstream suppliers. Because these purchases often involve a payment period, suppliers may have to wait before receiving their money.

Our discussion focused on whether asset-backed securities (ABS), supported by a bank guarantee, could help address this problem. The idea was to allow suppliers to receive payment earlier while giving the purchasing company more time to manage its cash flow.

The proposed financing period was one year, with a bank guarantee included to provide additional protection for investors.

- **How the Financing Structure Works**

The financing arrangement begins with normal business transactions between the ICT distributor and its suppliers. After the suppliers deliver the products, the purchasing company confirms the amount it owes. These payables become receivables from the suppliers' perspective.

Instead of waiting until the payment date, suppliers can transfer their receivables to a factoring company and receive early payment. The factoring company then transfers the eligible receivables to an ABS special-purpose plan, which raises funding from institutional investors.

A bank guarantee is an important part of this proposal. The purchasing company would apply for a guarantee from a commercial bank to support the payment obligations. The relevant rights under the guarantee would need to be properly arranged for the ABS plan, subject to the bank's approval and applicable legal requirements.

At the end of the one-year period, the purchasing company would make its payment to the ABS plan. If it failed to pay, the plan could make a claim under the bank guarantee, provided the claim satisfied the guarantee terms.

The main purpose of this structure was to connect suppliers that wanted earlier payment with investors willing to provide financing, while using the bank's credit support to manage part of the transaction risk.

- **Financing Cost Analysis**

Another part of our discussion was the potential cost of using this structure. We considered the interest paid to ABS investors, bank guarantee fees, and other expenses involved in setting up and managing the transaction.

For the preliminary analysis, the following annual rates were used as reference assumptions:

Cost	Estimated Annual Rate
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Bank Guarantee Fee	0.4%–0.8%
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ABS Financing Interest	2.3%–2.9%
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Factoring and Other Fees	0.6%–1.0%
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Total Estimated Cost	3.3%–4.7%
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The total estimated annual financing cost was approximately 3.3% to 4.7%, assuming the listed components were additive. These were preliminary assumptions rather than confirmed financing quotations.

The actual cost would depend on the issuing bank, the company's credit profile, market conditions, and the final transaction structure.

From the purchasing company's perspective, the financing cost would need to be compared with the benefit of maintaining a longer payment period. For suppliers, the main benefit would be receiving cash earlier instead of waiting for the original payment date.

- **Risks and Challenges**

Although the proposal could improve payment flexibility, several issues would need to be addressed before it could be implemented.

One concern was whether the underlying receivables were supported by genuine business transactions. Purchase agreements, invoices, delivery records, and payment confirmations would need to be checked carefully.

The bank guarantee was another important issue. Its coverage, expiration date, beneficiary arrangements, and claim requirements would need to be clearly documented. A guarantee would not automatically eliminate every risk associated with the transaction.

We also considered how funds would move between the purchasing company, the factoring company, and the ABS plan. Using clearly designated accounts would help reduce the risk of payments being delayed, misdirected, or mixed with unrelated funds.

Finally, the proposed transaction would depend on legal review, bank approval, securities issuance requirements, and investor demand. This meant that the financing structure could be discussed and analyzed before knowing whether it would ultimately be implemented.

● **My Internship Experience**

I worked with experienced employees during the research and discussion of this financing proposal. The project gave me an opportunity to learn how supply chain financing works in a business setting and how different financial institutions participate in a transaction.

Before this experience, I was more familiar with supply chain operations from an academic perspective. Working on this proposal helped me see how financing decisions can affect both the purchasing company and its suppliers.

I also became more familiar with the role of bank guarantees, factoring companies, and ABS investors. One thing I found interesting was how a single financing arrangement could involve several parties with different responsibilities and risk considerations.

This experience gave me a better understanding of how finance and supply chain operations are connected, and it encouraged me to explore these areas further.